NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Video Conference)

PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL
ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 31.05.2022 AT 10.30 AM

TC/CP. Nos.	CA/IA No.	Section/ Rule	Name of Parties
CA(A) Merger & Amalgamation/6/230/AMR/2022		230	Bliss Hotels Limited (Demerged Comnpany) and Vibhooti Hotels Private Limited (Resulting Company)

Counsel for Petitioner(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

Counsel for Respondent(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

ORDER

CA(A) Merger & Amalgamation/6/230/AMR/2022 is allowed, vide separate orders.

Sd/-

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

BEFORE THE NATIONAL COMPANY LAW TRIBUNAL, AMARAVATI BENCH, AT HYDERABAD

CA (CAA) No.6/230/AMR/2022

In the matter of the Companies Act, 2013;

AND

In the matter of Section 230 to 232 of the Companies Act, 2013

AND

In the matter of Scheme of Arrangement between M/s. Bliss Hotels Limited (Demerged Company) and M/s.Vibhooti Hotels Private Limited (Resulting Company)

M/s. Bliss Hotels Limited,
Rep. by its Director Mr.Balakrishna Reddy Mabbu,
Having its registered office at 19-3-45,
Ramanuja Circle Renigunta Road,
Tirupati – 517501, Andhra Pradesh.

... Applicant/Demerged Company

M/s. Vibhooti Hotels Private Limited,
Rep. by its Director Rajasekhar Reddy Kumar Mabbu,
Having its registered office at Survey No.260/1B,
D.No.9-9-1, Tanapalli Cross, Tirupathi,
Chittoor – 517503, Andhra Pradesh.

... Applicant/Resulting Company

Order Pronounced on 31.05.2022

Coram:
Justice Telaprolu Rajani, Member (Judicial).

Counsel/Parties present:

For Applicant(s) : Mr. Jagannatham Puttaparthi, Advocate &
Mr. Navajyoth Puttaparthi, PCS

Per: Justice Telaprolu Rajani, Member (Judicial)

ORDER

1. The present Company Application is filed under Sections 230 to 232 of the Companies Act, 2013 read with Rule 3 of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 by the Applicant Companies inter alia seeking an order to dispense with convening the meeting of the Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Companies for consideration of the Scheme of Arrangement ("Scheme" for short) between the Applicant Companies and their respective shareholders and creditors as envisaged under the Scheme.

2. The Registered Offices of the Applicant Companies are situated in the State of Andhra Pradesh and therefore, they are within the jurisdiction of this Tribunal.

3. Brief facts leading to the filing of the present case are as follows:

   a) The Applicant/Demerged Company was incorporated as a limited company on 27.03.1987. The Authorised Share Capital is Rs.15,30,00,000/- divided into 1,53,00,000 equity

shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs.13,10,10,000/- divided into 1,31,01,000 equity shares of Rs.10/- each. The main objects of the Company are to acquire, establish, promote, run, manage, lease and otherwise carry on the business of hotel, restaurants, café, tavern, rest houses, tea and coffee houses, beer houses, bars, flight caterers, lodging house keepers, refreshment rooms, night club, cabarets, swimming pools, Turkish baths and lodging or apartment housekeepers, cottages, dairymen, confectioners, bakers, grocers, green grocers, brewers, distillers, tobacco and cigar merchants etc.

b) The Applicant/Resulting Company was incorporated as a private limited company on 09.01.2021. The Authorised Share Capital is Rs.1,00,00,000/- divided into 10,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs.25,00,000/- divided into 2,50,000 equity shares of Rs.10/- each. The main objects of the Company are to carry on all the business of hotels, restaurants, cafes, holiday camps, resorts, taverns, beer-houses, refreshment rooms and swimming pools and lodging or apartment house keepers, licensed wine, beer and spirit merchants, brewers, distillers, bakers and confectioners, importers and manufactures of aerated mineral and artificial water and other drinks etc.

4. According to the Applicant Companies, the Scheme of Arrangement would inter alia have the consequential advantages. The nature of risk and return involved in the business is distinct for both divisions. Hence, transfer of one division would enable both the divisions to run and operate independently and in a more cohesive manner so as to run more profitably and attract potential collaborators for the future growth and development of business by both the Applicant Companies. The transfer and vesting of the demerged undertaking of the Demerged Company to the Resulting Company through this Scheme is with a view to unlock the economic value of both the Companies. The said transfer of undertaking would provide greater flexibility and visibility on the operational and financial performance of both the divisions and would provide higher degree of independence as well as accountability.

5. It is further stated that the Board of Directors of the Applicant Companies vide its resolution dated 25.03.2022 has approved the Scheme of Arrangement with appointed date as 01.04.2021, subject to the approval of their shareholders and creditors.

6. It is stated that no investigation or proceedings have been instituted or are pending in relation to the Applicant Companies.

7. The Applicant/Demerged Company has filed certificate of the Auditor stating that as on 31.12.2021 there are Eight (8)

Shareholders, together holding 1,31,01,000 Equity shares and they have given their consent in the form of affidavits, agreeing to the proposed Scheme.

8. The Applicant/Demerged Company has filed certificate of the Auditor stating that as on 31.12.2021 there are Thirty Six (36) Unsecured Creditors having a debt of Rs.19,59,03,484/- and 90.39% Creditors has given its consent in the form of affidavit, agreeing to the proposed Scheme.

9. The Applicant/Demerged Company has filed certificate of the Auditor stating that as on 31.12.2021 there are Four (4) Secured Creditors having a debt of Rs.38,04,96,816/- and 99.96% has given its consent in the form of affidavit, agreeing to the proposed Scheme.

10. The Applicant/Resulting Company has filed certificate of the Auditor stating that as on 31.12.2021 there are Five (5) Shareholders together holding 2,50,000 equity shares and they have given their consent in the form of affidavits, agreeing to the proposed Scheme.

11. The Applicant/Resulting Company also has filed certificate of the Auditor stating that there are no Secured & Unsecured Creditors as on 31.12.2021.

12. Heard the submissions made in this regard by the Learned Counsel appearing for the Applicant Companies and perused the documents filed.

13. It is noted that all the shareholders of the Applicant Companies have given consent affidavits, agreeing to the proposed Scheme of Arrangement. Hence the meeting of the Shareholders of the Applicant Companies can be dispensed with, in terms of Section 230(9) of the Act.

14. It is noted that 90.39% of Unsecured Creditors have given consent affidavit agreeing to the proposed Scheme of Arrangement. Hence the meeting of the Unsecured Creditors of the Applicant/Demerged Companies can be dispensed with, in terms of Section 230(9) of the Act.

15. It is noted that 99.96% Secured Creditors have given consent affidavit agreeing to the proposed Scheme of Arrangement. Hence the meeting of the Secured Creditors of the Applicant Companies can be dispensed with, in terms of Section 230(9) of the Act.

16. In compliance of sub section(5) of Section 230 of the Act and Rule 8 of the Companies (CAA) Rules, 2016, the applicant companies shall send notice under sub section (3) of Section 230 read with Rule 6 of the Rules with a copy of the Scheme, the explanatory statement and the disclosures mentioned in Rule 6 to (a) the Central Government through the Regional Director, South Eastern Region;

(b) the Registrar of Companies, Andhra Pradesh; (c) the Income Tax Authorities; and (d) the Official Liquidator. The said notices be sent either by Registered Post or by Speed Post or by Hand Delivery at the Offices of the authorities as required by sub rule (2) of Rule 8 of the Rules. The aforesaid authorities, who desire to make any representation under sub section (5) of section 230 shall send the same to this Tribunal within a period of 30 (thirty) days from the date of receipt of such notice, failing which it shall be deemed that they have no representation to make on the proposed Scheme.

17. In the event of the Applicant Companies approaching this Tribunal seeking approval of the Scheme, it would be open for any person who is interested in the Scheme to put forth his/their contention(s) before the Tribunal. Hence ordered.

ORDER

The Company Application i.e., CA(CAA) No.6/230/AMR/2022 is allowed and disposed of accordingly.

Sd/-

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

Swamy Naidu